# TAX YEAR 2024 | Individual Income Tax Return

Bob and Lisa Smith | Married filing jointly | Prepared draft for senior accountant review

**REVIEW COPY - NOT FOR SIGNATURE OR FILING.** This is a line-by-line draft prepared from the supplied client documents. It is not an IRS-generated facsimile and requires senior review and taxpayer signature/authorization before filing.

## Return snapshot

| Adjusted gross income | Taxable income | Total tax | Balance due |
|---|---|---|---|
| **$360,946** | **$331,703** | **$58,571** | **$15,379** |

| Key outcome | Amount |
|---|---|
| Total federal income tax, including additional Medicare tax and NIIT | $58,571 |
| Federal withholding plus estimated payments | $39,079 |
| Excess Social Security withholding claimed as refundable payment | $4,113 |
| Total payments and refundable credits | $43,192 |
| Amount due (no refund / no direct deposit) | $15,379 |

## Documents and return components

Reviewed: W-2s (3), Forms 1099-INT (3), Form 1099-DIV, Forms 1099-B (2), Form 1098, Form 1098-E, child-care statement, long-term-care premium statement, estimated-tax payment schedule, and completed intake questionnaire.

Prepared return package includes Form 1040 (2 pages), Schedules 1, 2, 3, B, and D; Forms 8949, 2441, 8812, 8959, 8960, and 8995.

## Items for senior review / assumptions

| Review item | Treatment in draft |
|---|---|
| Educator expenses | Lisa's $730 classroom expenses were limited to the 2024 $300 above-the-line educator deduction. Confirm eligibility, including the 900-hour requirement. |
| Child/dependent care | Eligible expenses limited to $1,640 for the two children under age 13. Judith's expenses were excluded because she was age 14 and no disability was reported. Credit: $328 at the 20% rate. |
| Deduction choice | Standard deduction of $29,200 used. Reported itemized amounts total approximately $28,727 before medical expenses; LTC premiums do not exceed the 7.5%-of-AGI medical floor. |
| Student loan interest | No deduction claimed; joint MAGI is above the 2024 phaseout ceiling. |
| Estimated-tax penalty | Not computed. Prior-year tax and annualized income facts were not provided; determine whether Form 2210 or a penalty applies during review. |
| Address discrepancy | LTC insurer statement shows ZIP 78523; intake and other tax documents consistently show 78253. Return uses 123 Smith Street, San Antonio, TX 78253. |

No state income tax return is included; Texas has no individual income tax.

# FORM 1040 - PAGE 1 | U.S. Individual Income Tax Return

Calendar year 2024 | Line-by-line draft | Filing status: Married filing jointly

## Taxpayer and spouse

| Field | Taxpayer | Spouse |
|---|---|---|
| Name | Robert Smith Jr. | Lisa Marie Smith |
| Social Security number | 333-44-5555 | 444-55-6666 |
| Address | 123 Smith Street | Same |
| City, state, ZIP | San Antonio, TX 78253 | Same |
| Occupation | Salesman | Teacher |

## Filing status and dependents

**Filing status:** [X] Married filing jointly [ ] Single [ ] Married filing separately [ ] Head of household [ ] Qualifying surviving spouse

**Digital asset question:** No - no receipt, sale, exchange, or other disposal of a digital asset reported.

| Dependent name | SSN | Relationship | Age at 12/31/24 | Child tax credit |
|---|---|---|---|---|
| Robert Smith III | 111-22-7777 | Son | 6 | Yes |
| Melissa Smith | 222-33-7777 | Daughter | 6 | Yes |
| Judith Smith | 777-88-9999 | Daughter | 14 | Yes |

## Income

| Line | Description | Amount |
|---|---|---|
| 1a | Wages, salaries, tips, etc. (W-2 box 1) | $327,003 |
| 1z | Total wages (sum of wage lines) | $327,003 |
| 2a | Tax-exempt interest | $0 |
| 2b | Taxable interest (Schedule B) | $1,116 |
| 3a | Qualified dividends | $4,898 |
| 3b | Ordinary dividends | $6,744 |
| 4-6 | IRA, pension, and Social Security taxable amounts | $0 |
| 7a | Capital gain (Schedule D) | $26,383 |
| 8 | Additional income from Schedule 1 | $0 |
| 9 | Total income | $361,246 |
| 10 | Adjustments to income from Schedule 1 | $300 |
| 11 | Adjusted gross income | $360,946 |
| 12 | Standard deduction | $29,200 |
| 13 | Qualified business income deduction (Form 8995) | $43 |
| 14 | Total deductions | $29,243 |
| 15 | Taxable income | $331,703 |

# FORM 1040 - PAGE 2 | Tax, Credits, Payments, and Amount Due

Amounts in whole dollars; totals reconcile to attached schedules and forms

## Tax and credits

| Line | Description | Amount |
|---|---|---|
| 16 | Tax (Qualified Dividends and Capital Gain Tax Worksheet) | $62,878 |
| 17 | Additional tax from Schedule 2, Part I (AMT) | $0 |
| 18 | Tax before credits | $62,878 |
| 19 | Child tax credit / credit for other dependents (Schedule 8812) | $6,000 |
| 20 | Other nonrefundable credits (Schedule 3) | $539 |
| 21 | Total credits | $6,539 |
| 22 | Tax after credits | $56,339 |
| 23 | Other taxes, including Schedule 2 | $2,232 |
| 24 | Total tax | $58,571 |

## Payments and refundable credits

| Line | Description | Amount |
|---|---|---|
| 25a | Federal income tax withheld from Forms W-2 | $25,394 |
| 25b-25c | Other federal withholding | $0 |
| 25d | Total federal income tax withheld | $25,394 |
| 26 | 2024 estimated tax payments | $13,685 |
| 27-30 | Earned income / refundable credits / adoption credit | $0 |
| 31 | Refundable credit from Schedule 3 (excess Social Security) | $4,113 |
| 32 | Total other payments and refundable credits | $4,113 |
| 33 | Total payments | $43,192 |

## Refund or amount owed

| Line | Description | Amount |
|---|---|---|
| 34-36 | Overpayment / refund / amount applied to 2025 estimates | $0 |
| 37 | Amount you owe | $15,379 |
| 38 | Estimated tax penalty | Not computed - see review note |

Direct deposit not requested. Bank routing/account information left blank. Taxpayer and spouse signature/date, paid preparer information, and e-file authorization are intentionally blank for review and completion.

**Attached schedules/forms:** Schedule 1, Schedule 2, Schedule 3, Schedule B, Schedule D, Forms 8949, 2441, 8812, 8959, 8960, and 8995.

# SCHEDULE 1 (FORM 1040) | Additional Income and Adjustments to Income

2024 | Part I has no additional income; Part II includes educator expenses

## Part I - Additional income

| Line | Description | Amount |
|---|---|---|
| 1-7 | Taxable refunds, business income, gains, rents, farm, unemployment, and other listed income | $0 |
| 8 | Other income (all sublines) | $0 |
| 9 | Total additional income | $0 |
| 10 | Additional income reported on Form 1040, line 8 | $0 |

## Part II - Adjustments to income

| Line | Description | Amount |
|---|---|---|
| 11 | Educator expenses (Lisa Smith) | $300 |
| 12-25 | Other adjustments to income | $0 |
| 26 | Total adjustments to income (Form 1040, line 10) | $300 |

Source: intake questionnaire reports approximately $730 of classroom expenses for Lisa. The deduction is capped at $300 for 2024. Confirm the statutory educator eligibility requirements and substantiation during review.

# SCHEDULE 2 (FORM 1040) | Additional Taxes

2024 | Alternative minimum tax not due; additional Medicare tax and net investment income tax apply

## Part I - Tax

| Line | Description | Amount |
|---|---|---|
| | Alternative minimum tax (based on provided information) | $0 |
| | Repayment of excess advance premium tax credit | $0 |
| | Total Part I tax (Form 1040, line 17) | $0 |

## Part II - Other taxes

| Line | Description | Amount |
|---|---|---|
| | Additional Medicare Tax (Form 8959) | $931 |
| | Net Investment Income Tax (Form 8960) | $1,301 |
| | Other additional taxes | $0 |
| | Total additional taxes (Form 1040, line 23) | $2,232 |

AMT review: based on the information provided, regular income tax exceeds tentative minimum tax. No Form 6251 is included with this draft; senior reviewer should confirm if additional AMT adjustments are identified.

# SCHEDULE 3 (FORM 1040) | Additional Credits and Payments

2024 | Foreign tax credit and dependent care credit; excess Social Security tax withheld

## Part I - Nonrefundable credits

| Line | Description | Amount |
|---|---|---|
| 1 | Foreign tax credit (1099-DIV box 7; direct claim permitted) | $211 |
| 2 | Child and dependent care credit (Form 2441) | $328 |
| 3-7 | Other nonrefundable credits | $0 |
| 8 | Total nonrefundable credits (Form 1040, line 20) | $539 |

## Part II - Other payments and refundable credits

| Line | Description | Amount |
|---|---|---|
| 11 | Excess Social Security tax withheld | $4,113 |
| 12-14 | Other refundable credits/payments | $0 |
| 15 | Total refundable Schedule 3 amounts (Form 1040, line 31) | $4,113 |

Foreign tax credit is based on $211.05 shown on Lisa's Form 1099-DIV; rounded to $211. Excess Social Security withholding results from Bob having two employers and combined Social Security wages exceeding the 2024 wage base.

# SCHEDULE B (FORM 1040) | Interest and Ordinary Dividends

2024 | Required because ordinary dividends exceed $1,500

## Part I - Interest

| Payer | Recipient | Amount |
|---|---|---|
| Yellow Rose Bank | Robert Smith | $39.99 |
| TX Lending Company | Robert Smith | $107.88 |
| Yellow Rose Bank | Lisa Smith | $968.24 |
| Total taxable interest (Form 1040, line 2b) | | $1,116.11 |

## Part II - Ordinary dividends

| Payer | Recipient | Amount |
|---|---|---|
| Yellow Rose Bank | Lisa Smith | $6,744.05 |
| Total ordinary dividends (Form 1040, line 3b) | | $6,744.05 |

## Part III - Foreign accounts and trusts

Foreign financial account or signature authority: No. Foreign trust grantor / transferor / receipt: No. No foreign income or foreign account reported in the intake questionnaire.

Qualified dividends reported separately on Form 1040, line 3a: $4,897.86 (rounded to $4,898).

# FORM 8949 | Sales and Other Dispositions of Capital Assets

2024 | Part I short-term and Part II long-term transactions

## Part I - Short-term transactions (basis reported to IRS; Category A)

| Description | Date acquired | Date sold | Proceeds | Cost/basis | Adjustment | Gain/(loss) |
|---|---|---|---|---|---|---|
| 11 shares EXSTCK | 03/08/24 | 07/06/24 | $57 | $6,751 | $0 | ($6,694) |
| Total - Category A | | | $57 | $6,751 | $0 | ($6,694) |

## Part II - Long-term transactions (basis reported to IRS; Category D)

| Description | Date acquired | Date sold | Proceeds | Cost/basis | Adjustment | Gain |
|---|---|---|---|---|---|---|
| 18 shares BLU-FOR CORP | 04/08/19 | 08/25/24 | $43,877 | $11,268 | +$468 (W) | $33,077 |
| Total - Category D | | | $43,877 | $11,268 | +$468 | $33,077 |

Wash-sale adjustment: $468.41 from Form 1099-B, reported as code W and added to basis/gain computation as instructed. Proceeds and basis rounded to whole dollars on the return; Schedule D totals reconcile to transaction-level cents.

# SCHEDULE D (FORM 1040) | Capital Gains and Losses

2024 | Totals flow from Form 8949

## Part I - Short-term capital gains and losses

| Line | Description | Amount |
|---|---|---|
| 1a | Short-term transactions reported on Form 1099-B, basis reported (Form 8949, A) | ($6,694) |
| 1b-6 | Other short-term transactions / adjustments | $0 |
| 7 | Net short-term capital loss | ($6,694) |

## Part II - Long-term capital gains and losses

| Line | Description | Amount |
|---|---|---|
| 8a | Long-term transactions reported on Form 1099-B, basis reported (Form 8949, D) | $33,077 |
| 8b-14 | Other long-term transactions, distributions, and adjustments | $0 |
| 15 | Net long-term capital gain | $33,077 |

## Part III - Summary

| Line | Description | Amount |
|---|---|---|
| 16 | Net capital gain (loss) (line 7 plus line 15; Form 1040, line 7a) | $26,383 |
| 17 | Both net gain and net long-term gain; Schedule D tax worksheet not required for special-rate gain types | Yes |

Tax computation uses the Qualified Dividends and Capital Gain Tax Worksheet because the return reports qualified dividends and net capital gain. No collectibles gain, unrecaptured section 1250 gain, or other special-rate gain was reported.

# FORM 2441 | Child and Dependent Care Expenses

2024 | Part II credit computation for qualifying care expenses

## Qualifying persons and expenses

| Qualifying person | SSN | Relationship | Qualifying expenses |
|---|---|---|---|
| Robert Smith III | 111-22-7777 | Child; under 13 | $820 |
| Melissa Smith | 222-33-7777 | Child; under 13 | $820 |
| Total eligible expenses paid to provider | | | $1,640 |

## Credit computation

| Line | Description | Amount |
|---|---|---|
| | Qualified expenses for care (two qualifying children) | $1,640 |
| | Taxpayer earned income limitation | $327,003 |
| | Spouse earned income limitation | $92,069 |
| | Smaller amount after earned-income limits and $6,000 expense cap | $1,640 |
| | Applicable percentage (AGI above $43,000) | 20% |
| | Tentative child and dependent care credit | $328 |
| | Allowable credit after tax-liability limitation (Schedule 3) | $328 |

Provider: Children First Child Care Center of Texas, EIN 45-4564564, 777 Childcare Way, Dallas, TX 75211. Judith Smith's statement amounts were excluded because she was 14 at year-end and the intake reports no disability.

# SCHEDULE 8812 (FORM 1040) | Credits for Qualifying Children and Other Dependents

2024 | Three qualifying children under age 17; no income phaseout

## Credit computation

| Line | Description | Amount |
|---|---|---|
| | Adjusted gross income | $360,946 |
| | Specified exclusions / modifications | $0 |
| | Modified adjusted gross income | $360,946 |
| | Qualifying children under age 17 (3 x $2,000) | $6,000 |
| | Other dependent credit | $0 |
| | Potential child tax credit and other dependent credit | $6,000 |
| | MFJ phaseout threshold | $400,000 |
| | Excess MAGI and phaseout reduction | $0 |
| | Credit after phaseout and tax-liability limitation (Form 1040, line 19) | $6,000 |
| | Additional child tax credit refundable amount | $0 |

Qualifying children: Robert Smith III (age 6), Melissa Smith (age 6), and Judith Smith (age 14). No other dependent credit claimed.

# FORM 8959 | Additional Medicare Tax

2024 | Joint Medicare wages exceed the $250,000 MFJ threshold

## Medicare wages and calculation

| W-2 recipient / employer | Medicare wages (box 5) |
|---|---|
| Robert Smith - COMPANIX | $132,465.05 |
| Robert Smith - ZIXBO SERVICES GROUP INC | $102,468.69 |
| Lisa Smith - COMPRESS MIDDLE SCHOOL | $118,475.30 |
| Combined Medicare wages | $353,409.04 |

| Line | Description | Amount |
|---|---|---|
| | Combined Medicare wages | $353,409 |
| | MFJ threshold | $250,000 |
| | Wages subject to Additional Medicare Tax | $103,409 |
| | Additional Medicare Tax rate | 0.9% |
| | Additional Medicare Tax (Schedule 2) | $931 |
| | Additional Medicare Tax withholding identified on W-2s | $0 |

No Additional Medicare Tax withholding was identified on the provided W-2s. Box 6 amounts are regular Medicare withholding; they are not reported as Additional Medicare Tax withholding on Form 8959.

# FORM 8960 | Net Investment Income Tax

2024 | 3.8% tax applies to net investment income, limited by MAGI excess

## Investment income computation

| Line | Description | Amount |
|---|---|---|
| | Taxable interest | $1,116 |
| | Ordinary dividends | $6,744 |
| | Annuities, rents, royalties, partnerships, and other investment income | $0 |
| | Net gain from disposition of property (Schedule D net gain) | $26,383 |
| | Other investment income / adjustments | $0 |
| | Total investment income before deductions | $34,243 |
| | Allocable investment expenses, state/local income taxes, and modifications | $0 |
| | Net investment income | $34,243 |

## Tax computation

| Line | Description | Amount |
|---|---|---|
| | Modified AGI for NIIT purposes | $360,946 |
| | MFJ threshold | $250,000 |
| | MAGI excess over threshold | $110,946 |
| | Smaller of net investment income or MAGI excess | $34,243 |
| | Net Investment Income Tax at 3.8% (Schedule 2) | $1,301 |

No allocable investment expenses or state income taxes were provided. The calculation reflects reported taxable interest, ordinary dividends, and net capital gain.

# FORM 8995 | Qualified Business Income Deduction - Simplified Computation

2024 | Section 199A REIT dividends reported on Form 1099-DIV

## Section 199A dividends

| Line | Description | Amount |
|---|---|---|
| | Qualified business income from trades or businesses | $0 |
| | Qualified REIT dividends / publicly traded partnership income | $215 |
| | 20% of qualified REIT dividends ($214.79 x 20%) | $43 |
| | Taxable income limitation | No limitation |
| | Qualified business income deduction (Form 1040, line 13) | $43 |

The deduction is limited to 20% of the reported section 199A dividends. Taxable income before the QBI deduction is below the 2024 MFJ threshold for the simplified Form 8995 computation.

# REVIEW WORKPAPER | Income, Withholding, and Deduction Reconciliation

Supporting details and preparation assumptions - not a separately filed form

## Income and payroll reconciliation

| Source | Wages / income | Federal withholding / other |
|---|---|---|
| Bob W-2 - COMPANIX | Wages $132,465.05; SS wages $132,465.05; Medicare wages $132,465.05 | FIT $9,642.23; SS tax $8,212.83 |
| Bob W-2 - ZIXBO | Wages $102,468.69; SS wages $102,468.69; Medicare wages $102,468.69 | FIT $7,465.85; SS tax $6,353.06 |
| Lisa W-2 - COMPRESS MIDDLE SCHOOL | Wages $92,068.87; SS/Medicare wages $118,475.30 | FIT $8,286.20 |
| Total | Wages $327,002.61; Medicare wages $353,409.04 | FIT withholding $25,394.28 |

## Capital gain, payments, and deduction comparison

| Item | Calculation / source | Return amount |
|---|---|---|
| Net capital gain | Bob short-term loss ($6,694.10) + Lisa long-term gain ($33,077.44) | $26,383 |
| Estimated tax payments | $3,380 + $3,275 + $3,455 + $3,575 | $13,685 |
| Excess Social Security withholding | $8,212.83 + $6,353.06 - 2024 maximum $10,453.20 | $4,113 |
| Itemized deductions before medical | RE taxes $6,748.32 + mortgage interest $17,678.69 + cash gifts $4,300 | $28,727 |
| Standard deduction | 2024 MFJ standard deduction; exceeds itemized subtotal | $29,200 |
| LTC premiums | $11,000 paid; qualified premium age limits and 7.5% AGI floor considered | $0 itemized deduction |
| Student loan interest | Form 1098-E reports $4,312; MAGI exceeds MFJ phaseout ceiling | $0 adjustment |

## Tax calculation cross-check

| Calculation | Amount |
|---|---|
| Taxable income | $331,703 |
| Qualified dividends + net capital gain taxed at preferential rates | $31,281 |
| Ordinary taxable income subject to regular brackets | $300,422 |
| Regular tax on ordinary portion (2024 MFJ brackets) | $58,186 |
| Preferential tax (15% x $31,281) | $4,692 |
| Total income tax before credits | $62,878 |
| Less credits: CTC $6,000 + care $328 + foreign tax $211 | ($6,539) |
| Plus additional Medicare tax $931 + NIIT $1,301 | $2,232 |
| Total tax | $58,571 |
| Total payments and refundable credit | $43,192 |
| Balance due | $15,379 |

Rounding: return lines are reported in whole dollars; source-level cents are retained in the reconciliation. Penalty, prior-year tax, and annualized installment analysis remain open for senior review.